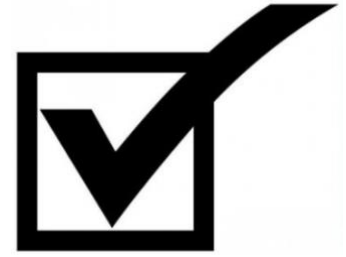




**BUSINESS
PROFESSIONALS**
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Giving Purpose to Potential



ADVANCED COLLEGE ACCOUNTING (115)

STATE 2022

CONCEPT KNOWLEDGE:

Multiple Choice (15 @ 2 points each) _____ (30 points)

APPLICATION KNOWLEDGE:

Short Answer _____ (48 points)

Problem 1: Depreciation Methods _____ (80 points)

Problem 2: Journal Entries _____ (76 points)

TOTAL POINTS _____ ***(234 points)***

Test Time: 90 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations to two decimal places at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

MULTIPLE CHOICE (20 @ 2 points each = 20 points)

- | | | |
|------|-------|-------|
| 1. B | 6. C | 11. A |
| 2. D | 7. A | 12. C |
| 3. C | 8. B | 13. D |
| 4. A | 9. C | 14. B |
| 5. D | 10. A | 15. A |

SHORT ANSWER (16 @ 3 points each = 48 points)

1. Malkin's Goods is running a promotion where a customer receives a free neon bowtie with the purchase of a suit for \$125. The standalone selling price of a suit is \$120. The standalone selling price of the bowtie must be estimated because Malkin's has never sold this product in the past. Malkin is aware of a competitor selling a product similar to the neon bowtie in the market for \$30.

Allocate the transaction price to the suit and the neon bowtie, rounding your final answers to the nearest whole dollar.

Suit: **\$100**

Bowtie: **\$25**

2. Quality Supplies enters into a contract to sell a robot vacuum plus a one-year service plan for the robot vacuum for a combined price of \$752. The standalone selling price of the robot vacuum is \$600 and the standalone selling price of the one-year service plan is \$25 a month. Quality Supplies collects \$450 upfront and bills the remaining balance evenly over the contract period of one year. Provide the appropriate journal entry when Quality Supplies sells the robot vacuum and collects \$450.

Grader: Each account is worth 3 points and each amount is worth 3 points

Cash	450	
Contract Asset	51	
Sales Revenue		501

3. Fine Jewelers enters into a \$300,000 contract for the purchase of customized minecarts with Cart Construction Inc. The construction of the equipment is expected to take two years. Fine Jewelers owns the work in process during the two-year period but will not take possession of the equipment until completed. Cart Construction will bill Fine Jewelers monthly for performance completed to date. After year-one, Cart Construction incurred costs of \$108,000 and expects remaining costs to be \$117,000. Cart Construction has billed Fine Jewelers \$150,000 in total for the year. Fine Jewelers has paid \$135,000 to Cart Construction. Determine the amount of revenue that Cart Construction should recognize in the first year of the contract.

\$144,000

4. Data relating to the computation of the inventory at June 30, 2021, for Dank Inc. follow.

Item	Cost	Retail
Beginning inventory, July 1, 2020	\$ 255,200	\$ 360,000
Purchases	1,428,000	2,362,000
Markups, net		245,000
Sales		2,415,000
Markdowns, net		175,000

What is ending inventory at cost on June 30, 2021, using the average cost retail method? (Do not round the cost ratio, but round the final answer to the nearest dollar)

\$227,280

What is the ending inventory at cost on June 30, 2021 using the conventional retail method? (Do not round the cost ratio, but round the final answer to the nearest dollar)

\$213,875

5. Granger Manufacturing purchased equipment, furniture, and artwork for \$160,000 in a lump-sum purchase. An independent appraiser provided them with the following estimates of fair value:

Equipment	\$120,000
Furniture	32,000
Artwork	12,000

How much would Granger Manufacturing allocate to the assets?

Equipment **\$117,073**

Furniture **\$31,220**

Artwork **\$11,707**

6. D. Thomas' Pizza incurred the following costs during 2021:

Purchase of warming units for delivery vehicles	\$15,000
Cost to install warming units	3,000
Replacement parts for refurbishment of pizza ovens	5,000
Labor related to refurbishment of ovens	2,500

The refurbishment improved the efficiency of the ovens by 20% but did not extend the oven's useful life. This is the first time Thomas has installed warming units in its vehicles.

Of the above costs, how much should be capitalized? **\$18,000**

Of the above costs, how much should be expensed? **\$7,500**

PROBLEM 1 (20 @ 4 points each = 80 points)

Gryff Industries purchased a delivery vehicle on January 1, 2022, for \$30,000. Gryff paid sales taxes of \$2,000, \$2,500 to have a custom rack installed and one year's insurance premium of \$1,500 on the same day. The company estimated a residual value of \$3,000 at the end of the 5-year expected service life. Round to the nearest whole number

Expected usage (in miles)	
2022	16,000
2023	22,000
2024	25,000
2025	21,000
2026	16,000

Prepare the depreciation schedules under the following methods and report the following amounts.

		Annual Depreciation Expense	Net Book Value
Straight-line	December 31, 2022	6,300	28,200
	December 31, 2026	6,300	3,000
Units-of-Production	December 31, 2022	5,040	29,460
	December 31, 2026	5,040	3,000
Sum-of-Years' Digits	December 31, 2022	10,500	24,000
	December 31, 2026	2,100	3,000
Declining Balance Method 200%	December 31, 2022	13,800	20,700
	December 31, 2026	1,471	3,000
Declining Balance Method 150%	December 31, 2022	10,350	24,150
	December 31, 2026	5,283	3,000

PROBLEM 2 (76 points)

Grader: 2 points for each account and 2 points for each amount, no points for date; account title may vary but must be similar.

StayPuft Corp. records the following entries during February 2022. StayPuft uses the perpetual inventory method and records all purchases and sales of inventory using the net method. Prepare the appropriate journal entries to record the transactions.

February 2	Sales of \$2,000 on account to RunFlat with terms 2/10, n/30 (cost of \$1,300)
5	Purchase \$5,000 of inventory on account from Runner's with terms 1/15, n/30
8	Grant RunFlat a \$200 (gross) return
11	Receive payment from RunFlat of half the amount owed
15	Return \$800 (gross) of goods to Runner's
19	Pay Runner's in full
22	Receive payment in full from RunFlat

Date	Accounts	Debit	Credit
Feb. 2	Accounts Receivable	1,960	
	Sales Revenue		1,960
	Cost of Goods Sold	1,300	
	Inventory		1,300
Feb. 5	Inventory	4,950	
	Accounts Payable		4,950
Feb. 8	Inventory	130	
	Cost of Goods Sold		130
	Sales Returns	196	
	Accounts Receivable		196
Feb. 11	Cash	882	
	Accounts Receivable		882
Feb. 15	Accounts Payable	792	
	Inventory		792
Feb. 19	Accounts Payable	4,158	
	Cash		4,158
Feb. 22	Cash	900	
	Accounts Receivable		882
	Sales Discounts Forfeited		18